

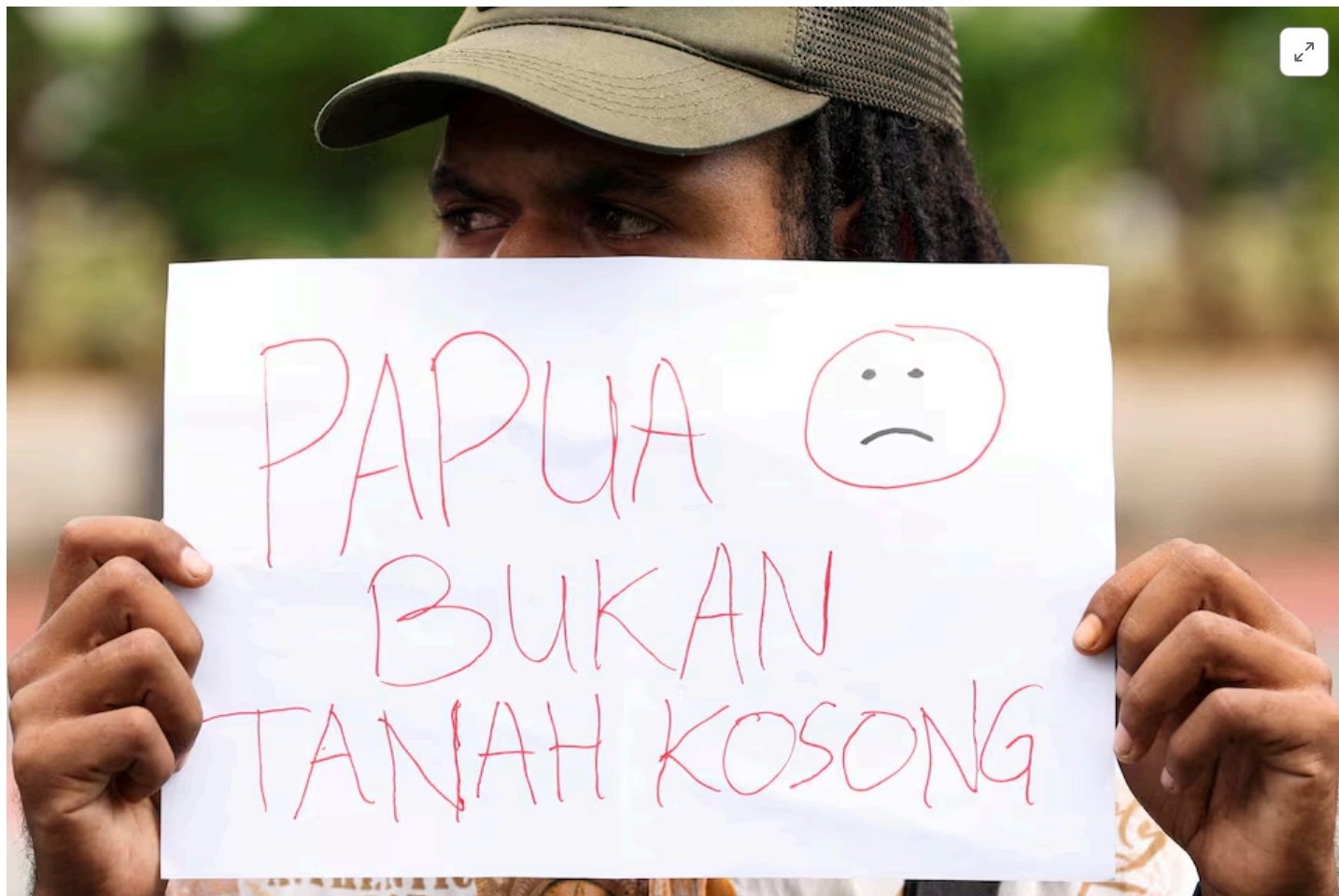
Investors push for action to end deforestation and human rights risks in nickel mining

By Catherine Early

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[1/5] An activist carries a paper that reads "Papua is not an empty land" during a protest outside the Ministry of Agrarian Affairs and Spatial Planning/National Land Agency building, against... [Purchase Licensing Rights](#) [Read more](#)



Summary

New mining technologies have led to explosion of nickel extraction in Indonesia
NGOs allege illegal clearing, water pollution and violations of Indigenous peoples rights
Investors with \$4.5trn assets urging automakers to clean up nickel supply chains
EU EV policy alone could destroy 18 football fields of forest daily for 25 years

April 7 - Nickel is a key ingredient in most electric vehicle batteries, conferring high-energy density and long range at a relatively low cost. But environmental groups are increasingly highlighting the damaging impact of the mineral's extraction on deforestation and local communities, particularly in Indonesia and the Philippines.

[Mighty Earth](#), [Climate Rights International](#) and [Global Witness](#) allege widespread abuses, including nickel mining companies illegally clearing thousands of hectares of forests, and failing to adhere to free, prior and informed consent (FPIC) protocols – required under the U.N. Declaration on the Rights of Indigenous People – in consulting communities. Other alleged abuses include severe pollution of drinking water, intimidation, attacks and even killings of those who speak out.

Campaigners fear the problems are set to get worse. Almost 20% of demand for nickel in 2024 came from clean energy technologies - mainly batteries - but this is set to rise to 40-50% by 2040, depending on take-up of EVs, renewables, and hydrogen technologies, which also use nickel, according to forecasts by the International Energy Agency. It predicts that overall demand for nickel will rise from 3.4 million tonnes (Mt) in 2024 to 4.5-5.4 Mt by 2040.

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The explosion in nickel mining in Indonesia, in particular, has come about due to the technology developments that have made extraction of the ore – which is far lower in nickel content than in other parts of the world – commercially viable, according to Chris Schlegel, executive director of the Nickel Institute’s scientific division, NiPERA.

Lower nickel content means that more land is required to produce the same quantity.

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Indonesian nickel output in 2024 was 16 times that in 2015, according to the International Energy Agency. The country now represents more than 60% of global production.

An aerial view of a nickel mining site in South Sulawesi province, Indonesia. REUTERS/Ajeng Dinar Ulfiana [Purchase Licensing Rights](#) 

“The expectation is that this trend will continue for the foreseeable future,” Schlekot says. The knock-on impact on deforestation from the EU’s EV policy alone could lead to the loss of the equivalent of 18 football fields a day for 25 years, according to [Rainforest Foundation Norway](#) (RFN).

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Investors are paying attention. In November 2024, RFN and the Dutch Association of Investors for Sustainable Development (VBDO) coordinated a letter from investors, including Legal & General Investment Management and Storebrand, urging automakers and EV battery manufacturers to enhance their environmental and social due diligence in nickel supply chains.

They want them to introduce mandatory FPIC to ensure Indigenous peoples and local communities are consulted, as well as third-party, independent auditing during risk and impact assessments of mining and refining sites.

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Investor signatories have since risen from 29 to 36, representing around \$4.5 trillion in assets under management, according to Puteri. In September 2025, Norges Bank Investment Management, Norway’s sovereign wealth fund, [excluded French mining group Eramet SA](#) from its portfolio after a recommendation from the Council on Ethics for the Norwegian government’s pension fund.

Norges Bank [flagged Eramet’s role](#) in Indonesia’s PT Weda Bay Nickel (WBN) joint venture mine, saying there was an “unacceptable risk” that it had contributed to, or was itself responsible for, “severe environmental damage and serious violation of the human rights of uncontacted indigenous people”.

Measures put in place by Eramet and WBN to mitigate the impacts of its mine were insufficient, Norges Bank added.

A worker at a nickel smelter of in Indonesia. REUTERS/Ajeng Dinar Ulfiana [Purchase Licensing Rights](#) 

In response to questions put to Eramet by The Ethical Corporation, a spokesperson said it had been a minority shareholder of PT WBN since 2017, and did not have “unilateral decision-making power for the joint venture”.

International consulting company Greencorp had carried out due diligence on the land acquisition on behalf of WBN, and this had confirmed that it complied with national laws in Indonesia, the spokesperson said.

Eramet is working to align with the Initiative for Responsible Mining Assurance (IRMA) standard across all group sites and that WBN's biodiversity action plan aimed for a net benefit on biodiversity, the spokesperson added.

Campaigners view IRMA as the gold standard since it involves NGOs and Indigenous peoples as well as industry, and implements “no-go zones” for mining. [Read more](#)

IRMA confirmed that the WBN mine is preparing to be part of the standard, with the next step being a third-party audit.

In the same month, the PT Weda Bay Nickel mine was also caught up in a [government crackdown](#) on mining operations, with a 148-hectare (366-acre) area at the WBN concession seized for failing to have a forestry permit.



An aerial view of an excavator at a forest on Indonesia's Sumatra Island. REUTERS/Beawiharta [Purchase Licensing Rights](#) 

NiPERA notes a lack of expertise on nickel mining risk in Indonesia, and is aiming to establish a risk-assessment framework to help companies implement best practices in ESG and standard-setting.

Though similar frameworks already exist in other parts of the world, Indonesia and the Philippines have unique challenges, such as high biodiversity and differences in the composition of the nickel ore, according to NiPERA.

Global automakers are behind the push, Schlekot adds. "From the downstream user industries' perspective, negative views about Indonesia's nickel will tarnish the reputation of nickel production elsewhere in the world."

Since the investor letter was published, some automakers have started introducing requirements for nickel suppliers. In September 2025, Mercedes-Benz, Volkswagen and BMW launched the Nickel Impact Program Indonesia to improve health services and access to safe drinking water for the local community.



A production line at the Volkswagen Anhui factory in China. VW is among the automakers who are introducing requirements for nickel suppliers. REUTERS/Florence Lo [Purchase Licensing Rights](#)

The project is also funding research on aquatic biodiversity and will develop targeted strategies for the restoration, protection and sustainable management of aquatic ecosystems.

Mercedes-Benz has stepped up auditing of its nickel supply chain and plans to require its battery cell suppliers to source exclusively from mines audited to the IRMA standard, while Volkswagen said it was promoting IRMA within its supply chain.

Jasmine Puteri, senior supply chains adviser for extractive industries at Rainforest Foundation Norway, acknowledged that some automakers had taken positive steps.

But there are concerns that a rival industry standard, the Consolidated Standard Mining Initiative (CSMI), does not have the same safeguards as IRMA for Indigenous and local people's rights.

"Our concern follows several mining companies signalling interest in signing up to CSMI."

She added that the weakening of the EU Corporate Sustainability Due Diligence Directive (CSDDD) had led some automakers to reduce disclosure.

Other commentators, including Global Witness, believe that the EU's Corporate Sustainability Due Diligence Directive (CSDDD) has had a positive influence on miners and automakers, particularly in China, which accounts for more than 70% of global EV car production.

Mark Mistry, director of public policy and sustainability at the Nickel Institute, says China is mirroring European battery sustainability legislation, in particular for carbon footprint data for supply chains, to ensure that its battery technologies and EVs can access the EU markets.

Concerns about the environmental impact and cost of nickel and cobalt have contributed to a decisive shift away from use of those minerals in China's EV battery market, with cheaper lithium-ion phosphate batteries now powering about 80% of Chinese-made EVs, according to research firm Rho Motion. [Click here](#) to read an article on China's battery makers betting on sodium.

In the United States, about 95% of EV batteries still rely on nickel and cobalt.

However, lithium has myriad other sustainability issues such as its prodigious use of freshwater.

"Part of the green transition is sustainable mobility, but the shift towards low-carbon electricity provision comes with significant raw materials demand," notes Mistry.

This article is from the latest issue of The Ethical Corporation magazine, about the energy-storage revolution. You can download the magazine for free by [clicking here](#)

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